

BOARD OF THE CBA

MINUTES

(15.05.2018)

The Refinancing Rate

The CBA Board Meeting of May 15, 2018 attended by Chairman Arthur Javadyan, Deputy Chairman Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, and Arkady Khachatryan

The Board meeting opened with presentation of Situation Report as of May 15, 2018. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

In April 2018, it was noted, the 12-month inflation rate reduced considerably, amounting to 2.4% at the end of the month. The reduction largely owed to the change in prices of food products, since groups such as “Vegetable and Potato” and “Egg” posted a decrease in prices by 5.3% and 11.9%, respectively, during the month. It is estimated that the fall in prices of agricultural products is largely driven by a seasonal shift in the harvest, and the growth of prices is believed to rebound over the forthcoming quarters, under which circumstance the 12-month inflation rate will remain within the lower part of the confidence band in the near future.

Addressing the current economic situation, the Board stated that economic activity remained relatively high in the first quarter of 2018 too, mainly driven by high productivity growth registered in the industry, construction and services sectors. According to the quarter’s actual preliminary results, the **Economic Activity Indicator is estimated to have been 9.4-9.6%** in January-March compared to the same period of the previous year. On the other hand, in spite of some weakening of demand observable since the beginning of the year, which also reflected a certain decline in core inflation in April, the expansionary monetary environment, it was stated, continues to positively contribute to demand. At the same time, it is estimated that the political processes that took place in the country during the second quarter did not affect the inflation developments.

The Board also discussed the external sector developments, which were mostly in line with the Central Bank expectations: the global economic growth continued rebounding and inflation trends in the world’s main commodity markets persisted. Taking into account the aforementioned developments and that such trends may

carry on over the upcoming months, the Board considers that minor inflationary effects from the external sector are likely.

The Board looked into the developments in the domestic financial market. The Central Bank, it was noted, continued using instruments to absorb excess liquidity in April, which facilitated the stabilizing of short-term interest rates around the policy rate. It should be noted that the impact of political events in April and May on the financial market was effectively neutralized through proper and timely action by the Central Bank. In particular, in response to tension in different segments of the financial market, the Central Bank has injected the needed amount of liquidity in the system through various tools in order to maintain the financial stability. At the same time, in macroeconomic terms, no significant fluctuations were seen in the dram's exchange rate and market interest rates, which has been a result of strong confidence of the market participants in both the toolkit applied and the policy pursued that time, since most of the funds withdrawn from the financial system was brought back after a short while.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. The options of leaving the refinancing rate unchanged or raising it were discussed. Taking into account weak inflationary expectations from the external and domestic economies, as well as the signs that the growth rates of domestic demand are slowing and stabilizing, the Board again preferred to leave the refinancing rate unchanged. The Board, however, believes that, in the light of predicted developments, expansionary monetary policy conditions would need to phase out gradually **in the future** in order to fulfill the inflation target. As a result, **the 12-month inflation rate is expected to remain within the lower part of the confidence band and will then continue increasing gradually to stabilize around the target.**

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA
BOARD DECISION

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the following interest rates:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.5%.
3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA

May 15, 2018

PRESS RELEASE
15.05.2018

At the May 15th of 2018 meeting, the Board of the Central Bank of Armenia (the CBA) decided to leave the refinancing rate unchanged, at the level of 6.0%.

There was 0.3% deflation in April of 2018 against 1.0% inflation registered in the same month of the previous year, and the 12-month inflation rate notably reduced during the month amounting to 2.4%. The low inflation environment owed to both the slowing of core inflation rate and the decline in seasonal prices. In the upcoming months, the CBA Board estimates, the inflation will remain within the lower part of the confidence band.

The actual developments in the external sector in April demonstrate that trends for improving global economic growth and minor inflationary patterns in the main commodity markets of the world continued. In view of such developments, the CBA Board keeps anticipating inflationary effects proportional with expanding demand in the external sector.

The CBA Board notes that economic activity in the first quarter of 2018 was relatively strong, driven by high productivity growths reported in industry, construction and services sectors. This was also concomitant with high rates by which the domestic demand recovered, and it is expected that the growth of the latter will, since the second quarter, decelerate to some extent, gradually approaching its equilibrium. The Board believes that inflation expectations have stabilized over the past period of the year and no additional inflationary pressures are expected in the upcoming months. At the same time, the Board reckons that the impact of political events in April and May on the financial market has been effectively absorbed thanks to the adequate toolkit the CBA used under its independence mandate.

Taking the abovementioned into account, the Board finds it appropriate that current monetary conditions will still be maintained, while considering that, in light of predicted developments, a gradual offsetting of expansionary monetary conditions would be needed in the future to fulfill the inflation target. As a result, the expectation is that the 12-month inflation rate will fluctuate within the confidence band in the forecast horizon, stabilizing around the 4% target.

The risks to economic growth outlook and to the inflation deviating from its recovery path are estimated to be more balanced. Should there emerge such risks, the CBA will adjust the monetary policy directions accordingly, while ensuring the price stability.

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Press Service of the Central Bank of Armenia